produced in a particular year × the price of the goods and services in that particular year (current price)

For example, take 2004–05 as base year.

National income for 2008–09 $_{\text{at constant price}}$ = Total quantity of all final goods and services produced in 2008–09 × the price of 2004–05

National Income for 2008–09 $_{\text{at current price}}$ = Total quantity of all final goods and services produced in 2008–09 × the price of 2008–09

The reason behind calculating National Income at constant price is to check whether the National Income has grown or not. Take the following example,

The base year = 2004–05

The base year price = 100

1. National income for 2007–08

Total quantity = 120; Price = ₹110
National income $_{\text{at current price}}$ = 120 × 110
= ₹13,200
National income $_{\text{at constant price}}$ = 120 × 100
= ₹12,000

2. National income for 2008–09

Total Quantity =110; Price = ₹130
National income $_{\text{at current price}}$ = 110 × 130
= ₹14,300
National income $_{\text{at constant price}}$ = 110 × 100
= ₹11,000

The National Income for 2008–09 at current price is ₹14300 which is